

25NWCV04647 25NWCV04647

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CREDITORS ADJUSTMENT BUREAU, INC. v. PRO WAY FUMIGATION

CASE NO.: 25NWCV04647

HEARING: 09/10/2026 @

9:30 AM

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TENTATIVE ORDER

Plaintiff Creditors Adjustment Bureau, Inc.'s motion to vacate default judgment is DENIED.

Moving party to give notice.

Plaintiff Creditors Adjustment Bureau, Inc. (Plaintiff) moves to vacate the default judgment entered in favor of it and requests a new judgment.

Background

On October 30, 2025, Plaintiff filed this breach of contract again against Defendant Pro Way Fumigation Inc. dba Pro Way Fumigation (Defendant) and Does 1 through 10. The complaint alleges Plaintiff's assignor State Compensation Insurance Fund (Plaintiff's Assignor) and Defendant entered into a written agreement in which Plaintiff's Assignor agreed to provide workers' compensation policy insurance to Defendant. (Complaint, ¶ 11.) The

complaint alleges Defendant breached terms in the policy requiring it to provide access to records and payrolls for audits. (Complaint, ¶ 14.) The complaint asserts a single cause of action for breach of contract.

On March 12, 2026, Plaintiff filed a Request for Entry of Default. On the same date, Default was entered as to Defendant.

On April 28, 2026, the Court entered Default Judgment as to Defendant.

Legal Standard

Under Code of Civil Procedure section 663, “[a] judgment or decree, when based upon a decision by the court, or the special verdict of a jury, may, upon motion of the party aggrieved, be set aside and vacated by the same court, and another and different judgment entered, for either of the following causes, materially affecting the substantial rights of the party and entitling the party to a different judgment:

1. Incorrect or erroneous legal basis for the decision, not consistent with or not supported by the facts; and in such case when the judgment is set aside, the statement of decision shall be amended and corrected.
2. A judgment or decree not consistent with or not supported by the special verdict.”

Discussion

Plaintiff moves to vacate the default judgment in favor of it on the grounds that it is based on an incorrect and erroneous understanding of the law. This motion is unopposed.

As a preliminary matter, Plaintiff does not follow the proper procedure for relief under Code of Civil Procedure section 663. Code of Civil Procedure section 663a, subdivision (a) requires Plaintiff to file and serve a notice of intention within specific deadlines. Plaintiff does not put forth any authority that permits additional damages through a Code of Civil Procedure section 663a motion.

Moreover, Plaintiff does not show an incorrect or erroneous legal basis for the default judgment. Plaintiff argues that the Court failed to apply Insurance Code section 11670.1, subdivision (a) and therefore failed to award treble damages. However, Plaintiff does not support this contention with well-reasoned arguments or facts.

Insurance Code section 11670.1, subdivision (a), applies only "if the insurer elects to comply with the conditions set forth in subdivision (d)." (Ins. Code, § 11760.1, subd.

(a).) Subdivision (d) provides: "Upon the employer's failure to provide access after the insurer's third request during at least a 90-day period, the insurer may notify the employer through its mailing of a certified, return-receipt, document of the increased premium and the total amount of the costs incurred by the insurer for its attempts to perform an audit as described under subdivision (a)." (Ins. Code, § 11760.1, subd.

(d).)

Plaintiff's declaration re Insurance Code section 11760.1 does not establish compliance with Insurance Code section 11760.1, subdivision (d). Plaintiff does not provide evidence that the insurer made three requests prior to notifying Defendant of an increased premium. (Omrani Decl., Exh. 1.) Insurance Code section 11760.1, subdivision (d) expressly becomes actionable upon three requests. (Ins. Code, § 11760.1, subd.

(d).) Without compliance with Insurance Code section 11760.1, subdivision (d), subdivision (a) is not triggered and there is no entitlement to treble damages.

Accordingly, Plaintiff's motion to vacate default judgment is DENIED.